would have no basis to know what these allocations should be, these are important to include because they help control for the effects of dynamic asset allocation in order to see better about the specific role of the bond ladder portion of a time segmentation strategy as opposed to holding an equivalent amount of bond funds.

We can learn a lot from the exhibit. First, after about twenty-seven years of retirement, the personalized time segmentation approach with the critical path offers the highest probabilities of success. However, we can see that the total-returns investing approach with an identically matching asset allocation provides almost identical success rates. This suggests that the success of the strategy can be attributed to its generally more aggressive asset allocation, rather than any unique contribution provided by the bond ladder. Nonetheless, the higher success rate is notable.

Moving down, a simple fixed asset allocation total-returns approach shows up next in terms of its ability to support retirement income. This is important to note, since this strategy is more indicative of what a retiree may use if not choosing a time segmentation approach.

Next we observe the market-based time segmentation approach. While it underperforms relative to the fixed asset allocation total-returns case, the time segmentation version does noticeably better than its total-returns counterpart with the same asset allocation. This suggests that the market-based approach is providing a unique way to reduce sequence risk relative to an equivalent total-returns portfolio. It avoids selling stocks after a stock market downturn.

Finally, the automatic rolling ladder time segmentation approach performs noticeably worse than other strategies, including a total-returns strategy with a matching dynamic asset allocation. The reason is that this strategy more quickly drains the growth portfolio, reduces the stock allocation, and increases the sequence-of-returns risk as more pressure is placed on distributions for the growth portfolio.

We can understand this by considering distribution rates for the second year of retirement while including a simple assumption that the market return in the first year of retirement was sufficient to precisely offset the first-year distribution, and that interest rates do not change from their initial 2.45